

under which he was bound to appropriate them in the cash purchase of barley; (2) that even if the barley and malt which remained at the time of the bankruptcy in the bankrupt's possession were not bought in accordance with the authority given to the agent, and the legal property in them was not in the brewers but in the agent, he was a trustee of them for the brewers to the extent of the moneys advanced by the brewers, for they were the product of or substitute for the original trust property, and as such subject to the trust; and (3) that the bankrupt or his representative could not be allowed to set up the bankrupt's fraud and abuse of trust to defeat the title of his *cestui que trust* (d).]

6. **Factor selling and taking notes.**—So, if the factor sell the goods and take *notes* in payment the value of the notes, notwithstanding the bankruptcy, may be recovered by action from the creditor's trustee (e); for, though negotiable securities are said, like money, to have no ear-mark, the *expression does not intend that such securities in [*241] the hands of a bankrupt have run into the general mass of his property, and pass to his creditors, but only that negotiable securities, as a circulating medium in lieu of money, cannot be recovered from a person to whom they have been legally negotiated (a).

7. **Factor selling for money payable at a future day.**—So, if a factor sell the goods of his employer for money payable at a future day, and become bankrupt, and the creditors' trustee receives the money, he will be answerable for it to the merchant by whom the factor was employed (b).

8. **Tortious conversion of the trust property.**—In another case the conversion had been in *breach of the factor's duty* (c); and it was argued that, as the principal would not have been bound to accept the property which the agent had wrongfully purchased, the Court ought not to

[(d) *Harris v. Truman*, 7 Q. B. D. 340; 9 Q. B. D. 264.]

(e) *Anon. case*, cited *Ex parte Dumas*, 2 Ves. 586.

(a) *Hartop v. Hoare*, 3 Atk. 50, *per Lee*, C. J.; *Miller v. Race*, 1 Burr. 457.

(b) *Ryall v. Rolle*, 1 Atk. 172, *per Burnet*, J.; *Taylor v. Plumer*, 3 M. & S. 577; *Zinck v. Walker*, 2 W. Bl. 1154; *Garratt v. Cullum*, Bull. N. P. 42.

(c) *Taylor v. Plumer*, 3 M. & S. 562; see *Ryall v. Rolle*, 1 Atk. 172.